

A practical illustration of a hedging operation is afforded by Keith-Albee-Orpheum \$7 Preferred, convertible at the time into 3 shares of Radio-Keith-Orpheum A, the hedge being established on March 1, 1929, and the positions reversed or "undone" on March 26, 1929, as follows:

1. Sold (short) 300 R-K-O A @ $39\frac{7}{8}$ on March		
1, 1929	\$11,962.50	
Less commission (\$45) and tax (\$12)	<u>.57.00</u>	
Proceeds of short sale		\$11,905.50
Bought 300 R-K-O A @ 29 on March 26, 1929	\$8,700.00	
Plus commission on this purchase	<u>.45.00</u>	
Cost of cover		\$8,745.00
Profit on short sale		\$3,160.50
2. Bought on March 1, 1929, 100 Keith-Albee-		
Orpheum Pfd. @ 120	\$12,000.00	
Plus commission (\$25)	<u>.25.00</u>	
Cost of long stock		\$12,025.00
Sold 100 Keith-Albee Orpheum Pfd. on		
March 26, 1929 @ 98	\$9,800.00	
Less commission (\$20) and tax (\$4)	<u>.24.00</u>	
Proceeds of long stock	\$9,776.00	
Plus dividend received on long stock	.175.00	
(Preferred sold ex-div. on March 19, 1929)		
Net proceeds from sale of long stock and		
dividends thereon		\$9,951.00
Loss on long stock		\$2,074.00
3. Profit on short sale		
Loss on long stock	<u>.2,074.00</u>	
Net profit on hedge	\$1,086.50	

The profit indicated was about 9% on the capital tied up in the transaction, and, since it covered a period of 26 days, the profit was at the rate of over 100% per year. Since there was no chance of loss on the transaction, a considerable part of the cost of the preferred stock could properly have been borrowed, thus largely increasing the percentage of profit on the capital supplied by the operator. With favorable surrounding conditions, operations of this kind offer a chance for large gains against a small maximum loss. They are particularly suitable as a form of protection